

The 1970s era conjures a vivid memory of disco, polyester, gas lines, stagflation, and recession. It was an era of socio-political upheaval and a general economic malaise, defined by spikes in inflation, the Watergate scandal, the oil embargo, and the Vietnam War. The market experienced a lot of rallies and sell-offs, but stocks failed to make much forward progress overall. The Dow kissed 1,000 in 1966 but did not manage to get over it on a permanent basis until 1982—16 frustrating years later. On an inflation-adjusted basis, stocks lost 75% of their value over this period.

The period from 2000 to 2013 was similar. Defined by the bursting of the dotcom bubble, the September 11 terror attacks, massive corporate accounting frauds, and the wars in Iraq and Afghanistan, and of course the GFC, it too featured an inflationary spike and high oil prices. But the GFC killed inflation, making deflation the greater threat. Big rallies and sell-offs also defined this era. The S&P 500 hit 1,500 in 2000, but did not permanently climb above that until some 13 years later in March 2013.^{[182](#)}

That is the yin and yang of long cycles. The underlying factors that drive each era come to dominate them. Sometimes it's war, or inflation, or technology, or some combination of these. But they are extremely powerful, and they can drive global economies for decades at a time.

The takeaway is that secular bull markets lead to secular bear markets which, in turn, lead to new secular bull markets, and the cycle repeats into the future.

I was in the new secular bull market camp in 2013. It may be obvious in retrospect, but the great secular bear market of 2000–13 ended in March 2013, when the market notched new highs. That is the big signal after a long bear market—when prices beat the prior highs from the previous bull markets.^{[183](#)}

If you were paying attention in the spring of 2013, you would have noticed most major US stock markets and indices had broken above their previous 13-year trading range. All-time highs soon followed, including for the Dow